normal rate as 1s 4d had stood for twenty years till 1917 and was only disturbed as a result of the war.

An Appropriate Ratio for India

Purshotamdas observed that the higher rate had been achieved only over the last one year (since June 1925) through artificial administrative manipulation. He held that this administrative action which had no relation to the *de facto* rate or to the reality of the international economic situation would prove disastrous for the Indian economy. He pointed out that the attempts to stabilize the rupee at 2s had failed and the rupee had been allowed to find its own level. It varied from 119/32d to 1s 37/8d gold between August 1921 and September 1924. Purshotamdas argued that at that time though pressed to put the prevailing rate which was close to 1s 4d on the Statute-book, the government had refused to do so, trying to secure 'a permanently higher rate than 1s 4d gold'[3] by limiting the supply of currency. By April 1925 the rate had reached 1s 6d gold, when sterling reached gold parity.

Purshotamdas pointed out that when in September 1924 the rate was approximately 1s 4d gold, suggestions had been made officially to the government in the Legislative Assembly to restore the 1s 4d ratio but the government had done nothing. He said that the higher ratio had been achieved by contracting the currency[4] and that the 'rupee was maintained at 1s 6d only by the deflation of the currency by ₹8 crores, during April last, and by an offer by government through the Imperial Bank of India to sell reverse councils at 1s. 5 ¾ d.'[5] He cited telegrams between the Viceroy and the Secretary of State in which the threat of serious financial crisis had been raised in case the abnormal stringency was not addressed. Purshotamdas contended that the government had prevented gold from being tendered at the currency offices in settlement of India's balance of trade and exposed the Indian exchange to the risk of a rise to any height.[6] He noted with some sarcasm that 'it is a mercy that they did not select a higher rate than 1s 6d at which to intervene.'[7] In the last paragraph of his Minute, Purshotamdas observed that the 'Executive had made up their minds to work up to 1s 6d ratio long before this Commission was appointed to examine the question. Indeed, they have…not…hesitated by manipulation to keep up the rate even